

financial obligation of the Town within the meaning of its Charter or any constitutional debt limitation, including Article X, Section 20 of the Colorado Constitution. Neither this Resolution nor the issuance of the Bonds shall obligate or compel the Town to make any deposits to the Bond Fund beyond those appropriated or provided in the Town Council's sole discretion.

Section 2. Limitation to Bonds. Unless otherwise expressly provided by a subsequent resolution of the Town Council, the provisions of this Resolution shall apply only to making a deposit to the Bond Fund securing the Bonds and shall not apply to any other bond fund established in connection with the issuance of obligations secured on a parity with the Bonds.

Section 3. General Repealer. All prior resolutions, or parts thereof, inconsistent herewith are hereby repealed to the extent of such inconsistency.

Section 4. Effectiveness. This Resolution shall take effect immediately upon its passage.

PASSED AND ADOPTED at a regular meeting of the Town Council of the Town of Telluride, Colorado this 3rd day of August, 2021.

TOWN OF TELLURIDE, COLORADO

Mayor

ATTEST:

Town Clerk

TOWN OF TELLURIDE
TOWN COUNCIL
AGENDA MEMORANDUM

Items No: 7c & 7d
Meeting Date: 8/3/21

TITLE: Consideration of a Recommendation of the Subcommittee of the Telluride Housing Authority Regarding the Selection of a Contractor for Design/Build Services for the Voo Doo Lounge Affordable Housing Project and Authorization of the Town Manager to Execute a Design/Build Contract

Consideration of a Recommendation of the Subcommittee of the Telluride Housing Authority Regarding the Selection of a Contractor for Design/Build Services for the Virginia Placer Phase 2A Employee Housing Project and Authorization of the Town Manager to Execute a Design/Build Contract

SUBMITTING DEPARTMENT: Town Manager

BOARD/COMMISSION/COMMITTEE RECOMMENDATIONS: The Subcommittee of the Telluride Housing Authority recommends the Town of Telluride proceed with the Voo Doo Lounge Affordable Housing Project and Virginia Placer Phase 2A Employee Housing Project as set forth below.

BACKGROUND

At its April 27th, 2021 meeting, Town Council directed the Telluride Housing Authority Subcommittee to:

- proceed with the planning, design, and cost estimation process for the Voo Doo Lounge Affordable Housing Project (Lots 1 & 3, and portions of Lots 2, 4, 6 & 8, Block 10, Town of Telluride) and the Virginia Placer Phase 2A Employee Housing Project (Lot B-1.2R, Virginia Placer Subdivision, Town of Telluride);
- develop and issue Requests for Qualifications (RFQ) for Design/Build services for the Projects; and
- update the geohazard and site information for the properties.

Accordingly, the RFQs for the Projects were issued on June 11, and after reviewing responses and interviewing responding teams, the Committee recommended Shaw Construction Inc., teamed with CCY Architects, be retained for design and construction services for the Voo Doo Lounge Affordable Housing Project, and The Allison Company, Inc. (dba Allison Construction, Inc.), teamed with 2757 Architects, be retained for the design and construction services for the Virginia Placer Phase 2A Employee Housing Project. As you may recall, the Allison/2757 team is presently the Design/Builder for the Town/County Sunnyside Housing Project. The geotechnical reports and reviews are underway for both sites, and existing surveys for the sites will be updated this Fall.

Moving forward with the Project would be consistent with the 2021 Town Council Goals and Objectives I. Preserve Community; A. Pursue Affordable Housing Opportunities and Maintain Existing Rental or Ownership; 1. Plan, prioritize and implement future projects, b. Voodoo lounge (deed restricted commercial) and c. Other Town properties. A summary of these Projects is included at the end of this memorandum.

DISCUSSION

The proposed contract form for both Projects' Design/Build services is a modified AIA Standard Form Agreement (AIA Document A191) with certain amendments. The contracting parties would be the Town of Telluride and Shaw Construction, Inc. (Voo Doo Lounge) and The Allison Company (Virginia Placer Phase 2A) as the Design/Builders for the respective Projects. The contract form establishes a two-step process: The first (Part 1) consists of the unit design, preliminary engineering, and cost estimation phase, with a combined architect/builder fee of 8% for the Voo Doo Lounge and 6% for the Virginia Placer Phase 2A (fee based on total projects' cost), and not-to-exceed caps for engineering and reimbursable expenses¹. Part 2 of the Contract consists of the construction document preparation and construction phase (with pre-negotiated combined architect/contractor fees of 8% for Voo Doo Lounge and 10% for Virginia Placer Phase 2A), which will not commence unless and until the Town accepts the respective Design/Builders' construction proposal and guaranteed maximum price ("GMP") for the construction and development of the specific Project. The contract provides for full performance and payment bonding, or acceptable collateral; a one-year warranty; the right of the owner to terminate at any time; would be subject to mediation rather than arbitration in the event of dispute; is subject to the project receiving financing, and assignable to a financing entity if necessary; provision for Town's use of the plans in the event the Town determines not to proceed with either Design/Builder for construction provided the specific Design/Builder is indemnified; and includes the customary governmental provisions concerning annual appropriations, non-waiver of governmental immunity, etc. The complete contracts, and the responses to the RFQ, are available for review in the office of the Town Attorney.

Provided the Council agrees with the terms set forth herein, staff recommends the Town Manager be granted the authority to sign the Design/Build contracts, which is no less favorable than the terms and conditions set forth above, or as may be modified by the Council at the meeting.

PROJECT TIMELINE

Should Council authorize the Part 1 Contracts as set forth herein, the Committee will proceed to develop the Projects' program and specifications; work with the Design/Build teams to complete the Projects' specific designs (with cost estimates provided throughout the design process); secure necessary development approvals; provide recommendations to Town Council regarding project purposes, uses and affordability goals as applicable; develop the budgets for the Projects; oversee the preparation of the GMPs by the Design/Build teams; and conclude Part 1 of the design/cost estimation phase with a recommendation to Council on whether to proceed with construction. Construction of the units (Part 2) would only commence upon Council's acceptance, individually, of the Projects as designed with the associated GMPs, and Council's approval of all aspects of the Projects, including the approach to financing. The GMPs would be based upon Design Development Documents; if a decision is made to proceed with construction, then Construction Documents would be prepared for building permit applications as part of the construction phase. At this juncture, it is anticipated

¹ Part 1 Engineering expenses capped at 1.75% for each Project.

the design process would commence in August for both Projects, with the development review occurring approx. November 2021 thru March of 2022 and DD documents/GMP completed by February to April 2022 depending on the Project.

FINANCIAL ANALYSIS

The Part 1 Design/Build Services for the Projects would be funded from the Affordable Housing Set Aside. Below is an estimate of anticipated expenses to be incurred for Projects' pre-construction activities, including the previously authorized for expenses associated with issuing the Design/Build RFQ and updating geotechnical and site information:

	Voo Doo Lounge Affordable Housing Project	Virginia Placer Phase 2A Employee Housing Project
Design/Build Contractor Services	\$850,000	\$100,000
Subcontract professional services/reim. expenses ²	\$185,000	\$30,000
Geotechnical, Survey, Title, RFQ Expenses	\$15,000	\$10,000
Totals:	\$1,050,000 ³	\$140,000 ⁴

RECOMMENDATION

Provided Town Council agrees with the recommendations of the Committee regarding the selection of the Design/Build contractors for the Voo Doo Lounge Affordable Housing Project and Virginia Placer Phase 2A Employee Housing Project, and desires to proceed with the Projects, the following motions are appropriate:

Agenda Item #7c:

- a. Move to Select Shaw Construction Inc., teamed with CCY Architects, as the Contractor for Design/Build Services for the Voo Doo Lounge Affordable Housing Project; and
- b. Move to Authorize the Town Manager to Execute a Design/Build Contract for the Voo Doo Lounge Affordable Housing Project with Shaw Construction Inc., teamed with CCY Architects, with terms and conditions no less favorable than those set forth in this memorandum, and commit to payment from the Affordable Housing Set Aside Fund in support of such Contract and expenses for pre-construction activities, services and expenses as set forth herein.

Agenda Item #7d:

- a. Select The Allison Company, Inc. (dba Allison Construction, Inc.) teamed with 2757 Architects, as the Contractor for Design/Build Services for Virginia Placer Phase 2A Employee Housing Project; and

² Subcontract professional services such as civil, structural, and mechanical engineering.

³ Exact fee amount and reimbursable expenses will be established upon development of the Preliminary Budget for the Project per the percentages listed above.

⁴ Exact fee amount and reimbursable expenses will be established upon development of the Preliminary Budget for the Project per the percentages listed above.

- b. Authorize the Town Manager to Execute a Design/Build Contract for the Virginia Placer Phase 2A Employee Housing Project with The Allison Company, Inc. (dba Allison Construction, Inc.) teamed with 2757 Architects, with terms and conditions no less favorable than those set forth in this memorandum, and commit to payment from the Affordable Housing Set Aside Fund in support of such Contract and expenses for pre-construction activities, services and expenses as set forth herein.

Prepared by: Lance McDonald
Program Director

Town Manager Approval

SUMMARY OF PROJECTS FROM 4/27/21 TOWN COUCIL MEMORANDUM

Voodoo Lounge Site (Lots 1 & 3, and portions of Lots 2, 4, 6 & 8, Block 10, Town of Telluride)

This approximately 17,400 sf., town-owned site is located generally along north side of Pacific Ave. between Spruce and Willow St. (depicted in Exhibit 1) and is zoned Commercial. Please note the site does not include the privately owned home on the Northeast corner of Spruce St. and Pacific Ave., and the portion of the Old Library building presently used as offices by the Town Marshal. The site does include the Community Room portion of the Marshal's building, the kid's stake park, the "Voodoo Lounge" building (presently rented on a month-to-month basis to Telluride Arts, and formerly used as the Town's Public Work Building and then as a "Youth Center"); two storage sheds (one of which is rated "contributing"), and approximately 6 parking spaces for the Marshal's use.

The property is well-suited for affordable housing, given its location proximate to the commercial core, post office, and Town Park. The property is also on the in-town transit route and within walking distance of the gondola. One limitation of the site is that basements will likely be cost prohibitive due to high groundwater levels. A sewerline also traverses the property and would likely need to be relocated if development were to be undertaken.

Consistent with past discussions regarding this site, were Council to elect to proceed with the site planning, design, and cost estimation processes, the Committee would explore the suitability and desirability of incorporating the following uses: ground floor tenant finish, deed-restricted commercial space; community room; youth center; public restrooms; and the project programming would take into consideration parking for the Marshal's dept., the historic shed, and storage uses presently occurring on site. It is assumed that plans for relocation of the kid's skate park would be addressed through other, on-going processes.

Virginia Placer – Phase 2A (Lot B-1.2R Virginia Placer Subdivision)

The Virginia Placer is town-owned land located in the southwestern corner of the Town of Telluride. Recently, the Town/Telluride Housing Authority completed the first phase of affordable housing development on the Virginia Placer with the Boardinghouse and Apartments on Lot B-2R, and Tiny Homes located on Lot B-1.2R. The Public Works Facility is located on Lot B-1.1. All lots within the Virginia Placer Subdivision are zoned Public Purpose. These lands were acquired in the 1980s, with additional land acquired in 2008 as part of the Valley Floor condemnation action.